Iran, the Iranian Space Agency which is briefly referred to as "Agency" in this Statute, is established.

Article 2- As a legal entity, the Agency is a financially independent official foundation affiliated with the Ministry of Communications and Information Technology and will be managed based on its specific financial and trade laws and regulations in the framework of the laws and regulations of the Islamic Republic of Iran.

Article 3- Agency's tasks and authorizations are as follows:

I. Implementing the study, research, designing, engineering and operating issues in the fields of space service technologies, remote sensing and strengthening the communications and space technology networks inside and outside of the country as well as the sovereignty tasks of the Iranian Remote Sensing Center and the Ministry of Communications and Information Technology,

II. Preparing and regulating the mid and long-term programs for country's space sector in cooperation with related institutions for proposing to the relevant referents,

III. Study for policy making in designing, manufacturing, launching and using research and applied satellites and providing space services for proposing to the legally cognizable referents,

IV. Doing research, designing, manufacturing and launch of the commercial, scientific and research satellites, and designing and establishing control center and launch of national satellites in cooperation with related institutions,

Nota Bene- The above said issues excluding launch and satellite control center could be implemented by the non-governmental sector in care of the Agency.

V. Planning to conduct and develop the peaceful uses of outer space, celestial bodies, astronomy and space technology, strengthening the national, regional and international communication networks by the state,

cooperative and private sectors and monitoring their implementation in the framework of the major policies of the country,

VI. Study, research, technology development and applied specific education in developing space science and technologies,

VII. Studying the requirements and implementing satellite and other space technology projects in the framework of the related laws and regulations,

VIII. Contribution to the implementation of the national, regional and international satellite projects in the framework of the major policies of the regime and other related laws and regulations,

IX. Implementing the allotted sovereignty tasks through providing space sector signal (including voice, image and data) for the land sector applicants, issuing authorization for the activities in space aiming at integral management of the country's space sector and sustained and coordinated exploitation of space technologies and facilities including satellites, network of private or national satellites (including satellite mobile), direct receiving and transmitting stations, and satellite control in the framework of the related rules and regulations,

X. Getting the approved tariffs for offering space services and issuing the authorization for activity in space,

XI. Assessing the competence of non-governmental contractors and advisors for implementing space related executive and research issues in different parts of the country in the framework of related laws and regulations,

XII. Representing, membership and attending related international and regional societies and unions aiming at protecting national interests in the framework of the regime's major policies and other laws and regulations,

XIII. Implementing regional and international cooperation programs in space issues in the framework of the regime's major policies,

XIV. Management and exploitation of satellite and orbital positions in coordination with responsible bodies and pursuing their international registration for optimum use of space sources,

XV. Study and planning for securing the space sector needs of the country's whole satellite networks for providing satellite services through the national, regional and international satellites in the framework of the laws and regulations,

XVI. Preparing and formulating the regulations and statutes related to the tasks included in the article 9 of the Law for Tasks and Authorizations of the Ministry of Communications and Information Technology approved in 2003, for proposing to the legal referents for approval,

XVII. Establishing national archive and centralizing store, classification and updating of space data.

Nota Bene 1- The Agency is obliged to apply the highest capacity of the non-governmental sector in the framework of the major policies of the regime for implementing its tasks and affairs.

Nota Bene 2- Distinguishing the security competence in the cases of the clauses IX and XI in this article will be the responsibility of the related referents.

Nota Bene 3- The Agency is authorized to proceed for establishing space research centers and firms with the endorsement of the Council for Development of Higher Education in the framework of the laws and regulations.

Nota Bene 4- Regarding the clause X, the Agency is obliged to act based on the rates approved by the Cabinet and settle the funds to the public revenue account (near the General Treasurer).

Article 4- Agency's required credits will be provisioned and secured through the public funds and credits in the country's annual budget and will be expended in the framework of the Agency's specific statutes subject of the article 2 of this Statute and other related laws and regulations.

Nota Bene- In coordination of the Planning and Strategic Monitoring Deputyship of the President of the Islamic Republic

of Iran and in the framework of the annual budgets, the Agency is authorized to use the financial allowance and other trust funds of the Ministry of Communications and Information Technology and its affiliated organizations and firms and other institutions.

Article 5- In implementing clause 10 of article 68 of the Law for Management of Country Service approved in 2007, the Agency in coordination of the Management and Human Assets Development Deputyship of the President of the Islamic Republic of Iran is authorized to make necessary superior payments with the endorsement of the Cabinet to draw and retain appropriate human resources for the specialized and managerial positions.

Article 6- The organizational chart of the Agency after formulating by the Agency and confirmation of the Management and Human Assets Development Deputyship of the President of the Islamic Republic of Iran will be effectual.

Article 6- The president of the Agency that is the Deputy Minister of Communications and Information Technology will be appointed by the above-mentioned Minister and will hold the highest executive position at the Agency.

Article 7- The president of the Agency is responsible for well implementing the affairs, protecting the rights, interests and assets of the Agency, and for managing the Agency will have full right and authorization in the framework of the regulations. He/she will represent the Agency before all legal authorities and real and legal entities with the right to depute the authorization to others, and he/she can delegate on his recognition part of his/her authorization by the official notification to either of his/her deputies, managers or Agency's staff.

The Guardian Council of the Constitution of the Islamic Republic of Iran according to letter number 87/30/27483 dated 2 July 2008 passed this Statute.

The Ministry of Communications and Information Technology is noticed of this approval through letter number 62999 T 38571 H on July 15, 2008.

CASENOTE

THE PRIVATIZATION OF PUBLIC POLICY: *EOSAT V. NASA* AND THE APPLICATION OF ANTITRUST LIABILITY TO FEDERALLY-SUPPORTED MONOPOLIES

Jason A. Crook[*]

INTRODUCTION

Throughout the course of history, political sovereigns have recognized the importance of private enterprise in advancing policy objectives and national development. From the quest to find a better method of food preservation for Napoleon's army to the latest advances in remote sensing, political institutions have rewarded those who produce items or provide services which advance society and the quality of life.[1] While the protection offered by a patent or copyright may entice an entity to invest

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[1] As early as the Fifteenth Century, the Venetian Government recognized the need to provide inventors with a limited form of protection against those who would misappropriate their ideas. As the Patent Statute of 1474 held:

> It being forbidden to every other person in any of our territories and towns to make any further device conforming with and similar to said one, without the consent and license of the author, for the term of 10 years. And if anyone builds it in violation hereof, the aforesaid author and inventor shall be entitled to have him summoned before any magistrate of this City, by which magistrate the said infringer shall be constrained to pay him hundred ducats; and the device shall be destroyed at once.

DONALD S. CHISUM ET AL., PRINCIPLES OF PATENT LAW 11 (2004).

some amount of time and effort into a prospective venture, governments have realized since the early Seventeenth Century the significant additional effects which can accrue when a firm is granted monopolistic power.[2] Cost savings can be maximized through economies of scale, duplicative waste can be reduced, and the overall return to the State can be increased beyond what is produced by competition. At its essence, the privatization of public policy through a grant of monopoly can be seen as symbolizing the perceived value and national importance of a centralized activity undisturbed by competition.

In 1992, Congress found that although "[t]he national interest of the United States [lay] in maintaining international leadership in satellite land remote sensing . . . funding and organizational uncertainties over the past several years ha[d] placed its future [leadership] in doubt . . ."[3] To resolve this dilemma, Congress passed the Land Remote Sensing Policy Act of 1992. In passing the Act, it affirmed that "commercialization of land remote sensing should remain a long-term goal of United States policy" but recognized that "[f]ull commercialization . . . cannot be achieved within the foreseeable future . . . ."[4] To bridge the gap between national policy and economic reality, Congress provided that the Department of Defense and NASA would "be responsible for the management of the *Landsat* program" including the funding and launch of the *Landsat* system, while a private contractor would be hired for the program's actual operation.[5] The desire for fiscal discipline and the concomitant goal of maintaining leadership in remote sensing thus re-

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[2] GLENN J. AMES, THE GLOBE ENCOMPASSED: THE AGE OF EUROPEAN DISCOVERY, 1500-1700 102-03 (2008). Following its establishment in 1602, the Dutch East India Company was granted an initial twenty-one year monopoly by the States-General of the Netherlands to conduct colonization activities in Asia. Under this public grant of private monopoly, the company was empowered to wage war, coin money, and negotiate treaties. *Id.*

[3] Land Remote Sensing Policy Act of 1992, 15 U.S.C. § 5601 (1992).

[4] *Id.* As a reflection of the strength of the privatization movement, Congress stated that "the United States Government should adopt a data policy . . . which allows competition within the private sector for distribution of unenhanced data and value-added services" so that "development of the remote sensing market and the provision of commercial value-added services . . . should remain exclusively the function of the private sector." *Id.*

[5] *Id.* at § 5611(a-d) (1992).

quired the *Landsat* system to be operated by a private contractor occupying a federally-supported monopoly position.

THE HISTORY OF LANDSAT

In September 1969, the *Landsat* program was initiated as a joint development between NASA and the U.S. Geological Survey.[6] Built to orbit the Earth every ninety-nine minutes at an altitude of approximately 700 kilometers (435 miles), each of the satellites in the *Landsat* system operates by capturing images of selected locations and then relaying this information to receiving stations scattered across the world.[7] In its first twenty years of operation, the *Landsat* system collected over three million images which were used in everything from "oil and mineral exploration, crop assessments, land-use planning, [and] environmental management [to] map-making."[8] As technology has improved, each subsequent satellite has carried increasingly-sophisticated instruments capable of providing greater detail and enhanced functionality.[9]

Motivated by the need to decrease direct governmental expenditures and in anticipation of the *perceived* commercial demand for *Landsat* data, Congress passed the Land Remote Sensing Commercialization Act in 1984.[10] This act "authorized

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[6] H.R. Rep. No. 102-539, at 6 (1992).

[7] *Id.*

[8] *Id.* at 13.

[9] *See supra* note 5.

[10] Pub. L. No. 98-365, 98 Stat. 451. This anticipated commercial demand ultimately turned out to be little better than conjecture, as one report by the Office of Technology Assessment stated that "[u]ntil the market expands substantially, and more efficient spacecraft are developed and deployed, it could cost the Federal Government as much to subsidize a private owner as to continue operating the system itself." Joanne Irene Gabrynowicz, *The Perils of Landsat from Grassroots to Globalization: A Comprehensive Review of US Remote Sensing Law with a Few Thought for the Future*, 6 CHI. J. INT'L L. 45, 54 n.28 (2005). Quoting Gabrynowicz further, "EOSAT was bound by a broad application of the nondiscriminatory access policy, which required making the data available to all who requested it. However, the company interpreted that to mean it had to charge the same price for all users turning nondiscriminatory access into nondiscriminatory pricing. The practical result was the same high prices were charged to all. The per image price rose from hundreds to thousands of dollars, virtually eliminating start-up value added companies, academia and developing nations as users." *Id.* This loss of a ready customer base thus contributed even further to the erosion of the program's commercial viability.

the Department of Commerce to select a contractor to operate the *Landsat* system and . . . required system operators to make unenhanced remote-sensing data available to all users on a nondiscriminatory basis . . . ."[11] Under the terms of the agreement, the contractor would "assume responsibility for marketing and distributing existing *Landsat* data, [would operate] *Landsats 4* and *5*, and [would build] two new [*Landsat*] spacecraft[.]"[12] After a competitive bidding process, EOSAT[13] was awarded the contract.[14]

With the passage of the Land Remote Sensing Policy Act of 1992, Congress repealed the 1984 Act and delegated the Government's contractual authority to the *Landsat* Program Management.[15] Empowered by legislative mandate to seek preferential pricing for Government agencies and affiliated users, the LPM was given thirty days after LRSPA's enactment to "enter into negotiations with the *Landsat 6* contractor [EOSAT] to formalize an arrangement with respect to pricing, distribution, acquisition, archiving, and availability of unenhanced data for which the *Landsat 6* contractor ha[d] responsibility under its contract."[16] In the event a satisfactory agreement could not be reached, the LPM's member agencies (NASA and the Department of Defense) were to jointly certify this determination to Congress along with a recommendation on how to proceed.[17]

After months of unsuccessful negotiation, the LPM sent EOSAT a draft copy of the letter it was considering submitting to Congress.[18] While recognizing their disagreement on some issues, the LPM negotiation team had also "been instructed to make one more attempt to reach [an] agreement" with EOSAT.[19]

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[11] H.R. Rep. No. 102-539, at 9 (1992).

[12] *Id.*

[13] EOSAT, or Earth Observation Satellite Company, was formed as a joint venture between Martin Marietta and Hughes Aircraft Company. (Stipulation of Facts, at 1. On file with the JOURNAL OF SPACE LAW).

[14] *See supra* note 10.

[15] *See* 15 U.S.C. § 5601 *et seq.* (1992).

[16] *Id.* at § 5613(a) (1992).

[17] *Id.* at § 5613(b) (1992).

[18] Stipulation of Facts, at 10. On file with the JOURNAL OF SPACE LAW.

[19] *Id.*

Two weeks later, the launch of *Landsat 6* failed.[20] Two days after that, EOSAT accepted the LPM's Statement of Principles.[21] On April 11, 1994, EOSAT and LPM signed a revised document ("Provisions for *Landsat 4* and *5* Operations") which allowed EOSAT to continue operating the *Landsat* system through the satellites' practical demise in exchange for the Government receiving a price discount on all *Landsat* data services.[22]

On May 5, 1994 by Presidential Directive, the Secretary of Commerce and the Secretary of the Interior were appointed to the LPM while the Secretary of Defense was removed.[23] Shortly after its appointment, the Department of Commerce became concerned that under the Competition in Contracting Act[24] the LPM could not enter into a sole-source contract extension with EOSAT and that it would have to solicit competitive offers.[25] On November 7, 1994, the Department issued a Commerce Business Daily Notice "announcing that it intended to enter into a sole-source contract extension with EOSAT" and that "interested parties" should notify the Department if they wished to be considered for competitive procurement.[26] EOSAT filed an agency protest against this but was advised that other parties had responded and that upon those expressions of interest, the Department intended to proceed with a competitive procurement.[27]

EOSAT then filed suit against the Department of Commerce and NASA alleging that it was properly entitled to the

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[20] *Id.* at 11.

[21] *Id.* at 12.

[22] *Id.* This agreement reflected a distinct policy shift away from the 1984 Act's mandate of making unenhanced *Landsat* data "available to all users on a nondiscriminatory basis . . ." *See supra* note 10. After the agreement, the Government data rate was reduced from $4,400 per transaction to $3,500 for the following year and $2,500 after that. Per-scene prices were also reduced to $70 instead of the $280 regular users would pay. *Id.* at 12-13.

[23] Stipulation of Facts, at 13. On file with the JOURNAL OF SPACE LAW. The Department of Commerce had previously been involved with the *Landsat* program under the 1984 Act, but had been removed from active participation under the LRSPA. As such, the Presidential Directive represented a re-appointment to its earlier role. *Id.*

[24] 41 U.S.C. § 251 (1994).

[25] *See supra* note 18, at 15.

[26] *Id.* at 16-17.

[27] *Id.*

sole-source *Landsat* contract under the terms of the LRSPA and the parties' April 11 agreement.[28] Shortly thereafter, Earth Satellite Corporation (EarthSat) was granted leave to intervene in the lawsuit as a party defendant.[29] While supporting the Government's position that EOSAT was not entitled to a sole-source contract,[30] EarthSat also brought an antitrust action against the company.[31] While the contractual claim against the Government could easily warrant a separate discussion, the antitrust matter is of far greater interest and thus receives the focus of this analysis.

EOSAT v. NASA

Although it would ultimately settle out of court, the case against EOSAT offers a rare glimpse into the antitrust liability of a federally-supported monopoly. Because the parties resolved their differences before an opinion could be rendered, it is uncertain how a court would have applied the antitrust laws to their arguments and what outcome it would have reached. Complicating things further, antitrust as a discipline has progressed substantially since the mid-1990s, so how the case would have been decided then may very well be different from how it would be decided today. Still, an analysis of the case from the present perspective is useful simply because the opportunities to evaluate the potential antitrust liability of a federally-supported monopoly are infrequent at best. Although styled primarily as a case against the Government, the true dispute worth analyzing is between EOSAT and EarthSat.

A. *The EOSAT Contract in Brief*

Before turning to the antitrust disagreement between EOSAT and EarthSat, it is important to establish a basic un-

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[28] *Id.* at 17.

[29] Order Granting Motion to Intervene (Feb. 15, 1995). On file with the JOURNAL OF SPACE LAW.

[30] Mem. in Support of Defendants' Mot. Summ. J. (Feb. 2, 1995). On file with the JOURNAL OF SPACE LAW.

[31] Counterclaim Against EOSAT (Feb. 24, 1995). On file with the JOURNAL OF SPACE LAW.